

ZEPTO CAFE

Step 5: Go-To-Market Strategy, Growth Loop & Monetization

Defining how repeat ordering launches, grows, and creates business impact

Product	PM	Target	Date
Zepto Cafe	Rishi Raj Sahu	12% → 25% repeat rate	July 2026

1. Executive Summary

This document covers Step 5 of the Zepto Cafe PM Launchpad case study. It defines the go-to-market strategy for launching the Chai O'Clock Habit Loop (S5 + S1 + S4), maps the user behaviour loop from first order to repeat, models the revenue impact of improving the 30-day repeat rate from 12% to 25%, and specifies the cohort rollout approach.

North Star Goal	Revenue Opportunity
Increase 30-day repeat order rate from 12% to 25% in 6 months — without discounts	+₹13,000 repeat orders/day → ~₹47 crore incremental GMV/year at ₹100 AOV

2. Market Opportunity

2.1 The Addressable Moment

Zepto Cafe's primary competition is not Swiggy or Zomato — it is the chai stall downstairs and the office canteen. Primary research (n=15 valid office/hybrid workers) reveals that 73% default to a nearby stall and 60% use the office canteen for their daily chai and snack break. Both require zero friction and offer social participation. Zepto Cafe's window is narrow but real: the 3:30–4:30 PM desk-bound break, when the user is too heads-down to walk out but genuinely hungry.

Metric	Value	Implication
India q-commerce market (FY25)	₹640 billion	Projected to triple by 2028
Zepto Cafe daily orders	100,000+	~3M orders/month baseline
Current GMV run-rate	~\$100M / year	₹830 crore at current repeat rate
30-day repeat rate	12%	Only 12,000/day from repeat users
Trial rate (survey)	47% of office workers	Trial is NOT the problem
Competitive window	6–12 months	Swiggy Instamart moving upmarket (AOV ₹700+)

2.2 Why Now

- Swiggy Instamart is actively abandoning low-ticket snack users (AOV target ₹700+), leaving a 6–12 month window for Zepto Cafe to own the office snack-break habit.
- Zepto Pass (1M+ subscribers) provides a distribution advantage — extending habit hooks to Cafe within the existing app is available immediately.
- No competitor currently owns "fresh, hot snack in 10 minutes as a daily office ritual." This positioning is Zepto Cafe's to win if retention is solved.
- Discounts rank last as a repeat trigger (20% of survey respondents) — validating a habit-architecture approach over promotional spend.

3. Go-To-Market Strategy

3.1 GTM Positioning

"Zepto Cafe is the one tap that beats the chai stall."

The GTM narrative is not about food delivery — it is about intercepting a physical daily ritual and making Zepto Cafe the lower-friction alternative at exactly the moment the habit fires. Every launch message leads with speed (4.57/5 — the product's genuine strength) and eliminates the decision to reorder.

3.2 Target Segments at Launch

Segment	Who They Are	Hook	Priority
Persona 2 App Experimenter	Hybrid, 22–30, no subsidised canteen. Tried Zepto 1–2x, reverted to Zomato.	One-tap reorder + 3:45 PM push. Speed is a genuine win vs. Zomato.	Tier 1 — highest conversion probability
Persona 1 Canteen Loyalist	Full-time, 28–35, subsidised canteen. Tried Zepto once (promo/colleague).	Quality signal (freshness badge S8) + reorder card on home screen.	Tier 2 — longer conversion cycle
Persona 3 Colleague Follower	Any age. Orders when a colleague suggests. No independent habit.	Social proof (S10) + group ordering (Phase 2). Trust signal first.	Tier 3 — Phase 2 focus

3.3 Launch Channels & Tactics

In-App Surfaces (Primary)

- Your Usual Reorder Card (S5): Surfaces immediately after Order 1 on the Cafe home screen. No new acquisition needed — intercepts existing users at the point of re-entry.
- In-App Contextual Banner (S4): Time-of-day banner at 3:30–4:30 PM for all Cafe users. Captures users who have push notifications disabled.
- Chai O'Clock Push Notification (S1): Personalised push at 3:45 PM, Mon–Fri. Deep-links directly to the pre-loaded reorder card. Ships 2–3 weeks after S5 (after initial cohort validates card CTR $\geq 25\%$).

Zepto Pass (Distribution Leverage)

- Zepto Pass (1M+ subscribers) already includes 10% off Cafe + free delivery. GTM Sprint 1 adds messaging within the Pass dashboard: "Your usual is 1 tap away — your Pass makes it free delivery."
- Pass users are the highest-engagement segment and the most natural first cohort for habit-loop validation.

Internal Communications (Soft Launch)

- Week 1 soft-launch to Zepto employees and a controlled cohort of 5,000 Zepto Pass users in Bengaluru and Delhi/NCR.
- Gather D3 and D7 return rate data before rolling to full eligible user base.

What GTM Deliberately Excludes

- No paid acquisition spend — GTM is 100% in-app and within existing user base.
- No discount-led activation — discounts rank last as a repeat trigger (20%). Every rupee goes to product experience, not promo burns.
- No WhatsApp / SMS push — v1 push is in-app only (FR-05 scope). Multi-channel in Phase 2.

4. User Behavior Loop

4.1 The Hook Model Diagnosis

Zepto Cafe has no behavioural loop today. The app delivers Order 1 and goes silent. Using Nir Eyal's Hook Model and Duhigg's habit loop as a diagnostic, here is where Zepto Cafe breaks down and what the solution installs:

Stage	Zepto Cafe Today (Broken)	What S5 + S1 + S4 Installs
CUE (Trigger)	No trigger exists after Order 1. App sits silent while the chai stall triggers the habit with physical proximity.	3:45 PM push: "Priya, your Masala Chai is 10 mins away." Fires at the exact moment the desk-bound break starts.
ROUTINE (Action)	User must open app, navigate to Cafe, browse menu, rebuild cart. 60–90 seconds of friction at a ₹100 decision point.	One tap on the push or reorder card. Pre-filled item, address, and payment. Order placed in under 15 seconds.
REWARD (Outcome)	No accumulating reward. No visible progress. Every order feels like the first. No loyalty building.	Sprint 2: Stamp Card widget (9 orders → free item). Mid-progress nudge at Stamp 5. Loss aversion: "I'm not starting over."
INVESTMENT (Future pull)	User leaves nothing in the app. No saved preferences, no feedback loop. The app cannot improve for them.	Order history seeds "Your Usual." Post-order 3-emoji rating (S9) creates data loop. App feels like it knows the user.

4.2 The Full Behavior Loop: Order 1 to Habit

The loop has five stages. Each stage is mapped to a specific product feature and a measurable transition metric.

#	Stage	What Happens	Feature	Metric
1	Order 1 Placed	User places first Cafe order. Order history seeded. "Your Usual" card created in backend.	Existing checkout flow	First-order completion rate
2	CUE Fires (Day 2+)	From next working day: reorder card appears on Cafe home. In-app banner at 3:30–4:30 PM. Push at 3:45 PM from Week 3.	S5 + S4 (Week 1) S1 (Week 3)	Reorder card CTR $\geq 25\%$ Push open rate $\geq 20\%$
3	Order 2 Placed (The Critical Jump)	User taps reorder card or push. One-tap add to cart. Address pre-filled. Order placed in <15 seconds. Frequency cap resets.	S5 + S1 + FR-02	D3 return rate $\geq 35\%$ D7 return rate $\geq 30\%$
4	Habit Forming (Orders 3–5)	Push becomes expected at 3:45 PM. "Your Usual" updates to most recent item. Stamp card fills. Loss aversion builds.	S3 Stamp Card (Sprint 2)	30-day repeat rate Orders 3-5 velocity
5	Habit Locked (Order 6+)	User in "habit zone." Orders become automatic. Churn drops sharply. Blinkit/Swiggy data: 4.5 orders/month vs. 1.2 at Order 1.	All Sprint 1–2 features active	30-day frequency Monthly active repeat users

4.3 The Order 1 → 2 Transition: Why It's Everything

Getting a user from Order 1 to Order 2 is 10x harder than Order 2 to Order 3. Every product decision must be evaluated by: "Does this increase the probability of Order 2?"

Industry data from Blinkit and Swiggy shows that once a user reaches their 3rd order, their 30-day frequency jumps from ~1.2 to ~4.5 orders per month. The Order 1 → 2 transition is the highest-leverage intervention point in the entire funnel. S5 and S1 are specifically engineered to collapse this gap — reducing the cognitive and physical effort of a second order to near zero.

5. Revenue Impact Model

5.1 Baseline Assumptions

Daily orders (baseline)	100,000 (case study figure)
Average Order Value (AOV)	₹100
Current 30-day repeat rate	12% → ~12,000 orders/day from repeat users
Target 30-day repeat rate	25% → ~25,000 orders/day from repeat users
Target window	6 months post-launch
GMV baseline (annual)	~\$100M / ~₹830 crore run-rate
Incremental repeat orders (Day)	+13,000 orders/day at target

5.2 Revenue Impact Calculation

Metric	Baseline (12%)	Target (25%)	Delta
Repeat orders / day	12,000	25,000	+13,000
Repeat orders / month	360,000	750,000	+390,000
Incremental GMV / day	₹12 lakh	₹25 lakh	+₹13 lakh
Incremental GMV / month	₹3.6 crore	₹7.5 crore	+₹3.9 crore
Incremental GMV / year	₹43 crore	₹91 crore	+₹47 crore
% increase in repeat GMV	—	—	+108%

A 13-percentage-point improvement in repeat rate (12% → 25%) is a 108% increase in repeat order volume. The compounding effect is non-linear: once users reach Order 3, their monthly frequency jumps from 1.2 to ~4.5 orders. The ₹47 crore figure is a conservative floor — it assumes flat AOV and no frequency acceleration beyond Order 2.

5.3 Unit Economics: Why This Is Profitable Without Discounts

- First-order users acquired via promotions have a high CAC and low LTV at 12% repeat rate. 88% of CAC is effectively wasted.
- Repeat users eliminate re-acquisition cost entirely. At ₹100 AOV, every repeat order is structurally profitable vs. an acquired-via-discount first order.

- Stamp Card (Sprint 2) creates a free 10th item reward = ~10% effective reward spread across 9 orders (₹10 per order) — economically viable and constraint-compliant.
- Zepto Pass users already pay for the pass. Habit loop features increase the utilisation rate of a pass already purchased — pure margin improvement.

5.4 Compounding LTV Model

User Stage	Orders / Month	Monthly GMV / User	LTV Multiplier
Order 1 only (current)	1.0	₹100	1x
Order 1 → 2 (D7)	1.5	₹150	1.5x
Orders 3–5 (habit forming)	3.0	₹300	3x
Orders 6+ (habit zone)	4.5	₹450	4.5x
Target cohort by Month 6	3.5 avg	₹350 avg	3.5x

6. Cohort Rollout Approach

6.1 Rollout Philosophy

The rollout follows a **validate-before-scale** principle: **ship the cheapest interventions first (Effort=1), validate D3 and D7 return rates on a small cohort, then unlock higher-effort features only when the base habit loop is confirmed working. This protects against investing in a loyalty backend (S3 Stamp Card, Effort=3) before the reorder card (S5, Effort=1) has been validated.**

6.2 Sprint Timeline

Sprint	Timeline	Solutions Shipping	What It Unlocks	Gate to Next
Sprint 1 Core Loop	Month 1–2	S5 Your Usual Card (RICE 2700) S4 In-App Banner (RICE 1200) S1 Chai O'Clock Push (RICE 720) S9 Post-Order Rating (RICE 700)	Full CUE → ROUTINE loop. Zero new infra for S5, S4, S9. S1 push layer added Week 3–4 once card CTR validated.	Reorder card CTR ≥25% D7 return rate ≥30%
Sprint 2 Reward Loop	Month 2–3	S6 Saved Favourites (RICE 560) S3 Stamp Card (RICE 467) S15 First Reorder Accelerator (RICE 413)	REWARD leg of habit loop. Loyalty backend built on order history infra from S5. S15 attacks 88% drop at Order 1→2.	30-day repeat rate ≥20% Opt-out rate <1%
Sprint 3 Depth	Month 4–5	S2 Chai Streak (RICE 320) S10 Social Proof (RICE 293) S8 Freshness Badge (RICE 270)	Depth features informed by Sprint 1+2 data. Streak adds loss aversion. Social proof targets Persona 3. Freshness badge rebuilds quality trust.	30-day repeat rate ≥25% D30 frequency ≥3 orders
Phase 2 Advanced	Month 6+	ML push timing Scheduled orders (S7) AI smart substitution Group ordering	Advanced automation only after habit loop validated at scale. ML replaces fixed 3:45 PM window with per-user optimal time.	Habit loop confirmed. Sprint 1–3 targets hit.

6.3 Cohort Definition & Sequencing

Cohort 0 — Soft Launch (Week 1)

- Size: ~5,000 users — Zepto employees + Zepto Pass subscribers in Bengaluru only.
- Purpose: Validate reorder card CTR, D3 return rate, and push opt-out rate in a controlled environment before any push infrastructure is stressed.
- Gate: If card CTR $\geq 20\%$ and opt-out rate $< 2\%$, proceed to Cohort 1.

Cohort 1 — Sprint 1 Full Rollout (Week 2–4)

- Size: All users with ≥ 1 prior Zepto Cafe order in Tier 1 cities (Bengaluru, Delhi/NCR, Hyderabad, Pune, Mumbai).
- S5 and S4 ship immediately. S1 push held back until Week 3 to avoid a concurrent spike at 3:45 PM before load testing is complete (OP-04 from PRD).
- Experiment design: 50/50 A/B — 50% see reorder card + banner; 50% see existing home screen. Run for 14 days, measure D7 return rate.

Cohort 2 — Sprint 2 (Month 2–3)

- Eligibility: Users who placed ≥ 2 orders in Sprint 1 cohort (i.e., the repeat habit has started to form). These are the highest-value users for the Stamp Card mechanic.
- S15 First Reorder Accelerator deployed to all users within 7 days of Order 1 — 2 bonus stamps for placing Order 2 within 3 days. Directly attacks 88% drop-off.

Cohort 3 — Sprint 3 Depth (Month 4–5)

- All active Cafe users (anyone who placed an order in the prior 30 days).
- Sprint 3 features are additive — they deepen the habit for already-returning users, they do not reactivate lapsed users (that requires a separate win-back strategy).

6.4 Key Sequencing Insight from RICE

RICE changed one critical phasing decision: S5 (Effort=1, RICE=2700) ships in Week 1; S9 Post-Order Rating (Effort=1, RICE=700) ships alongside it. S1 Push (Effort=2, RICE=720) follows in Week 3–4. S3 Stamp Card (Effort=3, RICE=467) waits until Month 2–3. Building loyalty infrastructure for users who do not yet return is wasteful — validate the reorder card first.

7. Success Metrics Summary

7.1 North Star & Feature KPIs

Metric	Baseline	Target	Window
30-day repeat order rate (North Star)	12%	25%	6 months post-launch
Reorder card CTR (S5)	—	≥25%	Sprint 1 gate
D3 return rate	—	≥35%	Sprint 1
D7 return rate	~8%	≥30%	Sprint 1
Push open rate (S1)	—	≥20%	Sprint 1 (Week 3+)
Push → order conversion	—	≥40%	Sprint 1 (Week 3+)
Notification opt-out rate	—	<1%	Ongoing guardrail
Stamp card engagement (S3)	—	≥60% of repeat users	Sprint 2

7.2 Guardrail Metrics

- Overall Zepto app uninstall rate — aggressive push cadence must not drive uninstalls above baseline.
- Cart abandonment rate on reorder flow — one-tap reorder must not increase abandonment vs. manual flow.
- Zepto Cafe home screen load time — reorder card fetch must not degrade home screen performance.
- First-order completion rate — habit-loop features must not distract from new user onboarding.

The GTM strategy is fully in-app, discount-free, and sequenced by RICE score. Sprint 1 ships the two Effort=1 foundations (S5 + S4) in Week 1, validates the habit loop on a controlled cohort, then unlocks the push layer (S1) and reward leg (S3) only once the reorder card has been confirmed working. The target is ₹47 crore in incremental annual GMV at a cost of near-zero CAC — every rupee coming from users already inside Zepto.

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